24STCV34483 24STCV34483

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Case Number: 24STCV34483 Hearing Date: August 4, 2026 Dept: 224

TENTATIVE RULING

The Demurrer is SUSTAINED and the Motion to Strike is GRANTED with leave to amend. Plaintiff is ordered to file and serve the Second Amended Complaint within 30 days of this ruling.

The Case Management Conference is continued to December 4, 2026 at 8:30 a.m.

ANALYSIS

This is a lemon law action. The Complaint arises out of Plaintiff's purchase of a pre-owned 2016 Chevrolet Traverse, and the vehicle's alleged transmission defects.

Meet and Confer

Before filing a demurrer or a motion to strike, the demurring or moving party is required to meet and confer with the party who filed the pleading demurred to or the pleading that is subject to the motion to strike for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (CCP § 430.41)

Defendant has satisfied the meet and confer requirement. (See Declaration of Xylon Quezada in Support of General Motors LLC's Demurrer and Motion to Strike, filed November 14, 2025, ¶ 2 [testifying that the parties met and conferred telephonically].)

Demurrer to FAC

Defendant demurs to the fifth cause of action for Fraudulent Inducement –Concealment in the FAC on the grounds that the claim is barred by the statute of limitations, fails to state facts relevant to the elements of the claim with the requisite specificity, and fails to allege a duty to disclose.

Legal Standard

A demurrer for sufficiency tests whether the complaint states a cause of action.¿ (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)¿When considering demurrers, courts read the allegations liberally and in context.¿ (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.)¿In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.¿(Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)¿"A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.)

Fifth Cause of Action: Fraudulent Inducement – Concealment

Statute of Limitations

Defendant argues that the fraudulent concealment claim is barred by the three-year statute of limitations because Plaintiff bought her vehicle no later than January 10, 2019 (citing FAC, ¶ 6), and she filed this action on December 30, 2024, more than three years after that date. (Demurrer, p. 9:11-16.)

Defendant also argues that "Plaintiff cannot invoke the delayed discovery rule because she affirmatively states that the alleged '[d]efects and nonconformities to warranty manifested themselves within the applicable express warranty period ….' (FAC, ¶ 11.) The delayed discovery rule tolls the applicable statute of limitations only if Plaintiff is unable to discover her cause of action with reasonable diligence, and to rely upon it, Plaintiff must plead 'facts showing that [she was] not negligent in failing to make the discovery sooner and that [she] had no actual or presumptive knowledge of facts sufficient to put [her] on inquiry.' (Hobart v. Hobart Estate Co. (1945) 26 Cal.2d 412, 437 ["Hobart"]; Johnson v. Ehrgott (1934) 1 Cal.2d 136, 137.) Conclusory allegations will not withstand a demurrer. (Fox v. Ethicon Endo–Surgery, Inc. (2005) 35 Cal.4th 797, 808.)" (Demurrer, p. 8:17-24.)

Code of Civil Procedure section 338 states that a fraud action must be brought within three years and the claim "is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." (Code Civ. Proc., 338, subd. (d); see also Community Cause v. Boatwright (1981) 124 Cal.App.3d 888, 899 ["In general the fraudulent concealment by the defendant of a cause of action tolls the relevant statute of limitations, which does not begin to run until the aggrieved party discovers the existence of the cause of action"].)

However, as Plaintiff alludes to in her opposition: "'"A demurrer on the ground of the bar of the statute of limitations will not lie where the action may be, but is not necessarily barred." [Citations.] It must appear clearly and affirmatively that, upon the face of the complaint, the right of action is necessarily barred. [Citations.] This will not be the case unless the complaint alleges every fact which the defendant would be required to prove if he were to plead the bar of the applicable statute of limitation as an affirmative defense. [Citation.]' [Citation.]" (Leasequip, Inc. v. Dapeer (2002) 103 Cal.App.4th 394, 400.)

Here, it does not clearly and affirmatively appear from the face of the FAC that the fraudulent concealment claim is barred. Indeed, contrary to Defendant's argument, nowhere in the FAC does Plaintiff allege when she bought the vehicle; the FAC only alleges that she entered into a warranty contract with Defendant on or about January 10, 2019. (FAC, ¶ 6.) Even if the Court were to agree with Defendant that the allegation means Plaintiff bought the vehicle by that date, the FAC alleges the following. "[P]rior to Plaintiff acquiring the Vehicle, Defendant was well aware and knew that the 6-speed Transmission installed on the Vehicle was defective but failed to disclose this fact to Plaintiff prior to and at the time of sale and thereafter." (FAC, ¶ 60.) "Defendant GM acquired its knowledge of the Transmission Defect prior to Plaintiff acquiring the Vehicle, through sources not available to consumers such as Plaintiff, including but not limited to pre-production and post-production testing data; [and] early consumer complaints …." (FAC, ¶ 62.) "Within the time period of any applicable statute of limitations, Plaintiff could not have discovered through the exercise of reasonable diligence that Defendant were concealing the Defect and conduct complained of herein and concealing the companies' true position with respect to the defects." (FAC, ¶ 27.) "Plaintiff did not discover, and did not know of, facts that would have caused a reasonable person to suspect that Defendants had concealed information about the defects in Defendant's Vehicles prior to and at the time of sale and thereafter, which was discovered by Plaintiff shortly prior to the filing of this Complaint." (FAC, ¶ 29.) Contrary to Defendant's arguments, the Court finds those allegations "establish[] facts showing that [Plaintiff] was not negligent in failing to make the discovery sooner and that [she] had no actual or presumptive knowledge of facts sufficient to put [her] on inquiry." (Hobart, supra, 26 Cal.2d at p. 437.)

Therefore, the demurrer to the fraudulent concealment claim on the ground that it is barred by the statute of limitations is overruled.

Duty to Disclose

Next, Defendant argues that Plaintiff has not pled a transactional relationship between GM and Plaintiff that gives rise to a duty to disclose.

"There are¿'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.' [Citation.]' [Citation.]"¿¿(LiMandri v. Judkins (1997) 52 Cal.App.4th 326, 336.)¿

"[O]ther¿than the first instance, in which there must be a fiduciary relationship between the parties, the other three circumstances in which nondisclosure may be actionable presuppose¿the existence of some other relationship between the plaintiff and defendant in which a duty¿to disclose can arise¿…," "A relationship between the parties is present¿[only]¿if there is some sort of¿transaction¿between the parties."¿(Hoffman v. 162 North Wolfe LLC¿(2014)¿228 Cal.App.4th¿1178, 1187 [emphasis, citations, and internal quotations removed].)¿¿"Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large."¿¿(Bigler-Engler v. Breg, Inc.¿(2017) 7 Cal.App.5th¿276,¿312.)¿

In Dhital v. Nissan N. Am., Inc. (2022) 84 Cal.App.5th 828 ("Dhital"), the defendant (Nissan North America, Inc. ("Nissan")) also argued that "plaintiffs did not adequately plead the existence of a buyer-seller relationship between the parties, because plaintiffs bought the car from a Nissan dealership ([a third-party] not from Nissan itself." (Id. at p. 844.)

The Court of Appeal disagreed, holding that it was sufficient for plaintiffs to allege "that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of [those] allegations, [the appellate court] decline[d] to hold plaintiffs' claim [was] barred on the ground there was no relationship requiring Nissan to disclose known defects." (Dhital, supra, 84 Cal.App.5th at p. 844 [emphasis added].)

Here, although the FAC alleges that the vehicle was purchased at Defendant's authorized dealership (FAC, ¶ 6), it does not allege that the vehicle was Defendant's agent for the purposes of the sale, unlike the plaintiffs in Dhital.

However, the Court finds that the FAC has alleged facts showing that Defendant had a transactional relationship with Plaintiff and a duty to disclose by alleging that "Plaintiff entered into a warranty contract with Defendant GM regarding [the vehicle], which was manufactured and[/]or distributed by Defendant GM" (FAC, ¶ 6), that at no time prior to Plaintiff's purchase did Defendant reveal a defect that only it knew from non-public sources (FAC, ¶ 60), and that the facts concealed were material to Plaintiff's decision in purchasing the vehicle (FAC, ¶¶ 68, 69). (See Dhital, supra, 84 Cal.App.5th at p. 843 ["Suppression of a material fact is actionable when there is a duty of disclosure, which may arise from a relationship between the parties, such as a buyer-seller relationship"]; see also Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38 ["A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties' contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement"].) Defendant has not cited (and the Court has not found) any law holding otherwise.

Therefore, the demurrer to the fraudulent concealment claim on the ground that it fails to allege facts establishing duty to disclose is overruled.

Sufficiency of the Allegations

Defendant also demurs the fraudulent concealment claim, arguing that it fails to state facts sufficient to constitute a cause of action.

"""The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance;

(d) justifiable reliance; and (e) resulting damage."' [Citations.]" (Lovejoy v. AT&T Corp. (2001) 92 Cal.App.4th 85, 93 (Lovejoy) [italics removed].)

In Dhital, for example, the appellate court found the plaintiffs sufficiently pleaded fraudulent concealment to overcome a demurrer by alleging that "[1] the [continuously variable transmissions] installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective; [2] Nissan knew of the defects and the hazards they posed; [3] Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information; [4] Nissan intended to deceive plaintiffs by concealing known transmission problems; [5] plaintiffs would not have purchased the car if they had known of the defects; and [6] plaintiffs suffered damages in the form of money paid to purchase the car." (Dhital, supra, 84 Cal.App.5th at p. 844.)

Here, the Court finds that the FAC has alleged facts similar to numbers 1, 2, 3, 5, and 6 above.

However, the Court agrees with Defendant that the FAC has not alleged facts showing that Defendant intended to deceive Plaintiff.

Plaintiff argues that, in Lovejoy, the Court of Appeal explained that "the only intent by a defendant necessary to prove a case of fraud is the intent to induce reliance. Moreover, liability is affixed not only where the plaintiff's reliance is intended by the defendant but also where it is reasonably expected to occur." (Lovejoy, supra, 92 Cal.App.4th at p. 93 [italics in original].)

However, fraud claims must still be pled with specificity.

For example, in Lovejoy, at issue was the practice of "'slamming' wherein one telephone carrier company surreptitiously gains control over the service provided by another without notice to the customer. Slamming is prohibited by the law of this state. (Pub.Util.Code, § 2889.5.) In [that] case, plaintiff Robert Lovejoy, individually and doing business as Lovejoy Drilling, filed a lawsuit claiming that defendant AT & T Corporation (ATT) 'slammed' his toll-free 800 number and that he lost his business as a result." (Id. at p. 96.)

The appellate court held that the plaintiff had alleged facts sufficient to constitute fraudulent concealment based on the following allegations.

"Initially ATT 'slammed' plaintiff's 800 telephone number, appropriating it for itself through false representation to third parties, but the misrepresentation did not complete the tort. After the "slam," ATT allegedly suppressed the 800 switch and concealed it from plaintiff by hiding the charges within its long distance bill. The surreptitious switch and its concealment from plaintiff was a breach of duty by ATT to plaintiff, a long distance customer. It may be inferred that ATT concealed the switch with fraudulent intent, for the purpose of making a profit; it may also be inferred that plaintiff, who was unaware of the switch, would have acted differently had he known of the suppressed fact. Specifically, plaintiff would never have permitted termination of his ATT long distance service had he known that it would have the simultaneous effect of pulling the plug on his 800 number. (At a minimum, plaintiff would have acted differently, by taking steps to ensure a continuity of 800 service on which he relied for his livelihood.) A complete proximate cause relationship between the suppression or concealment of the material fact and plaintiff's damage is thus readily deducible from the complaint."

(Lovejoy, supra, 92 Cal.App.4th at p. 96.)

Here, Plaintiff alleges that Defendant knew about the Transmission Defect and failed to disclose that fact, but does not specifically allege either (1) that Defendant intended deceive her into taking a certain course of action, and/or (2), unlike in Lovejoy, facts from which one can infer Defendant intended to induce Plaintiff's conduct (e.g., purchasing the vehicle and/or entering the warranty agreement). Plaintiff argues that Defendant concealed the alleged Transmission Defect in order to induce her purchase, but fails to plead that specific allegation in her FAC.

Therefore, the demurrer on the ground that Plaintiff has failed to plead facts sufficient to constitute a cause of action for fraudulent concealment is sustained with leave to amend.

Motion to Strike

Defendant moves to strike Plaintiff's prayer for punitive damages from the FAC on the ground that the pleading fails to state facts sufficient to support the recovery of punitive damages.

Civil Code section 3294 authorizes the recovery of punitive damages in non-contract cases "where it is proven by clear and convincing evidence that the defendant has been guilty of oppression, fraud, or malice …

(1) "Malice" means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) "Oppression" means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person's rights.

(3) "Fraud" means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the party of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code § 3294(c)(1)-(3).)

Here, although a fraudulent concealment claim can support punitive damages, the Court has sustained the demurrer to that claim with leave to amend.

Defendant also moves to strike the request for punitive damages, on the ground that the rest of Plaintiff's claims cannot support such damages because the Song-Beverly Warranty Consumer Act does not allow recovery for punitive damages.

In opposition, Plaintiff claims that the Act allows punitive damages.

"[P]laintiffs are not prohibited from receiving both an award for punitive damages based on presale fraudulent inducement and a postsale Song-Beverly Act penalty based on willful noncompliance …." (Anderson v. Ford Motor Co. (2022) 74 Cal.App.5th 946, 971 ("Anderson").) Under the Song-Beverly Act, subject to some exceptions, "'[i]f the buyer establishes that the failure to comply was willful, the judgment may include, in addition to the amounts recovered …, a civil penalty which shall not exceed two times the amount of actual damages." ([Civ. Code] § 1794, subd. (c), italics added.)" (Ibid.)

However, the California Court of Appeal has distinguished "penalties" under the Song-Beverly Act from "punitive damages" recoverable under common law fraud claims.

According to the Court of Appeal in Anderson, "unlike punitive damages, the Song-Beverly Act penalty for willful noncompliance does not require a showing of moral blameworthiness, malice, or a wrong toward the other party. (Kwan v. Mercedes-Benz of North America, Inc. (1994) 23 Cal.App.4th 174, 181 [28 Cal.Rptr.2d 371] ['[m]oral blameworthiness is not a necessary element of willful conduct under section 1794(c)']; Ibrahim v. Ford Motor Co. (1989) 214 Cal.App.3d 878, 894 [263 Cal.Rptr. 64] ['"In civil cases, the word 'willful,' as ordinarily used in courts of law, does not necessarily imply anything blamable, or any malice or wrong toward the other party, or perverseness or moral delinquency, but merely that the thing done or omitted to be done was done or omitted intentionally. It amounts to nothing more than this: That the person knows what he is doing, intends to do what he is doing, and is a free agent"'].)" (Anderson, supra, 74 Cal.App.5th at p. 972, fn. 15.)

Plaintiff has not cited any published California case holding that a plaintiff can recover "punitive damages" within the meaning of Civil Code section 3294 under the Song-Beverly Act.

For those reasons, the Court grants the motion to strike with leave to amend.

Accordingly, the Demurrer is SUSTAINED and the Motion to Strike is GRANTED with leave to amend. Plaintiff is ordered to file and serve the Second Amended Complaint within 30 days of this ruling.

The Case Management Conference is continued to December 4, 2026 at 8:30 a.m.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.